

Operational Guide: Futures Accounting & Reconciliation (OTE vs. VM Models)

This document summarizes the technical and operational mechanics of **Open Trade Equity (OTE)** and **Variation Margin (VM)** accounting models within a Futures Commission Merchant (FCM) back-office architecture, focusing on the differences between **CME** and **Eurex** networks and processing via the **FIS GMI** ledger platform.

1. Core Framework: OTE vs. VM Accounting

Operational Element	■ OTE Model	■ VM Model
Primary Exchanges	CME Group (CME, CBOT, NYMEX, COMEX)	Eurex , ICE Futures Europe
Regulatory Jurisdiction	CFTC / US Customer Segregation Rules	European / Asian Exchange Frameworks
Accounting Classification	Floating / Unrealized Equity	Realized Daily Cash Settlement
Position Cost Basis	Stays at Original Execution Price	Resets Nightly to closing settlement price
Daily Sub-Ledger Effect	Impacts NLV; ledger cash is static	Physically debits/credits the Cash Ledger Balance

2. Exchange Mechanics: CME vs. Eurex

CME Group (OTE Model):

- **Clearing House Level:** CME Clearing executes daily MTM calculations and moves cash physically between clearing banks of member FCMs.
- **FCM Sub-Ledger Level:** CFTC regulations (17 CFR § 1.32 & § 1.34) bar FCMs from mixing floating profits into the settled cash ledger. They remain classified as OTE.
- **The Operational Challenge:** Cash moves at the bank level, but client ledger cash (LEDBAL) stays static until trade liquidation.

Eurex (VM Model):

- **Clearing House Level:** Eurex physically moves cash daily across accounts based on end-of-session settlement prices.
- **FCM Sub-Ledger Level:** Daily P&L integrates into the client cash ledger. The position is systematically closed and re-opened at the new settlement price each morning.

3. Back-Office Processing: The FIS GMI Infrastructure

CME Point Balance (PTBAL) Function: To bridge the gap between banking cash sweeps and static ledger accounts, GMI runs the Point Balance routine during the EOD cycle: *Point Balance* = $(\text{Settlement Price} - \text{Original Trade Price}) \times \text{Multiplier} \times \text{Quantity}$. GMI updates the **PTBAL** field on the customer master instead of posting an LG cash entry. The reconciliation check is: **Total Bank Cash = LEDBAL + PTBAL**.

Eurex VM Processing Logic: GMI updates the position file, wiping out the historical entry price and resetting it to the closing settlement price. It generates an automated cash ledger entry—typically a Non-Cash entry (NC) or direct hit to LEDBAL. The PTBAL field resets to zero.

4. Key Risks and Breaks in Cash Reconciliation

- **Commission Discrepancies:** Conflicts between round-turn commission profiles in GMI vs. daily exchange netting structures.
- **FX Conversion Timing:** Mismatches between GMI internal exchange rates used during EOD processing and the spot rates locked during the CME clearing sweep.
- **Margin Data Integrity:** Layout errors between internal arrays and imported CME SPAN parameters.